

**Protecting Montana's Wetlands and Headwaters: State Policy Recommendations for
the Post Sackett v. the EPA Era**

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I. Executive Summary

Since its inception, the Clean Water Act (CWA) has been regarded as a legislative victory for environmental protection, with the overall quality of the United States' water vastly improved. However, due to ambiguity in the original definition of waters covered under the act, the scope of the CWA has often been a point of confusion (*Sackett v. Environmental Protection Agency*, 2023). *Sackett v. the Environmental Protection Agency (EPA)*, decided in 2023, represents the latest interpretation of the CWA and imposes a new definition of waters covered under the CWA that drastically reduces the regulatory scope of the EPA and the Army Corps of Engineers (Corps). This new interpretation of the CWA is particularly relevant to federal regulation of wetlands and ephemeral and intermittent streams (Environmental Law Institute, 2023).

The *Sackett v. EPA* case arose from over a decade of litigation following the Sacketts' backfilling of a wetland separated from a ditch by a road that led to an interstate waterway. The Court dismissed the EPA's claims, and in doing so, defined jurisdictional wetlands as those with a continuous surface-water connection to navigable waters. Further, the Court's decision has implications for ephemeral and intermittent streams and broadly restricts federal authority under the CWA. (*Sackett v. Environmental Protection Agency*, 2023)

The CWA provides for the protection of the Waters of the U.S. (WOTUS), defined as waters that are traditionally navigable or could be made navigable (Clean Water Act of 1972). Subsequently, the 1977 amendments to the CWA also extended jurisdiction to wetlands "adjacent" to WOTUS. Historically, in case law and administrative practice, "adjacent" has been interpreted to include wetlands without a clear surface-water connection, and the EPA and Corps have wielded broad regulatory power over wetlands under the CWA (Environmental Law Institute, 2023). *Rapanos v. United States* (2006) further defined the relationship between

wetlands and WOTUS. The Court provided one of the most expansive interpretations of “adjacent wetlands” through the significant nexus test, which concluded that a wetland was jurisdictional if it, either alone or in combination with other water bodies, had a connection to the physical, chemical, and biological condition of a navigable water body (*Rapanos v. United States*, 2006).

Under the new definition, it is estimated that between 19% to 91% of nontidal wetlands could lose protection depending on interpretation (Gold, 2024). 61% of Montana’s wetlands lack a continuous surface-water connection to another body of water (Vance, 2009), and more than 75% of Montana’s streams are classified as ephemeral or intermittent (Earthjustice, 2025). In terms of GDP attributable to outdoor recreation, Montana ranks third in the U.S. (Lawson, 2024). The factors combine to make the state extremely susceptible to damage post-Sackett. By adopting state legislation to address new regulatory gaps related explicitly to the filling, dredging, and draining of wetlands and ephemeral streams, Montana can strengthen its existing protections of its water resources and ensure the continued economic and environmental benefits of its natural resources.

II. Issues & Context

The Implications of *the Sackett v. EPA* decision are significant to Montana due to the state’s large number of wetlands and its many ephemeral and intermittent streams. These natural resources provide substantial economic value to local economies, and Montana’s freshwater aquatic ecosystems lack the state-level protection necessary within the post-Sackett regulatory vacuum. Montana has 252,186 mapped natural wetlands covering 735,338 acres (Vance, 2009). Of these, 61% have no visible surface-water connection to another body, 8% are associated with navigable rivers and streams, and 13% are likely to fall within the “significant nexus test”

(Vance, 2009). Under the new “continuous surface connection” definition, many of Montana’s wetlands are left unprotected, and the paradigm shift away from the “significant nexus” will reduce the regulation of wetlands previously protected under the CWA. Further, more than 75% of Montana’s streams are classified as ephemeral or intermittent (Earthjustice, 2025), and post-Sackett, there is a total lack of state regulation, both in legislation and in the practical application of the existing laws protecting non-permanent streams and wetlands (Kihslinger et al., 2023).

The Prairie Potholes region, encompassing the Eastern Montana Plains, is of particular concern due to its high wetland density, unique ecology, and economic value to hunting. The Prairie Pothole ecoregion was formed 12,000 years ago during the last glacial maximum and left 25 million wetland depressions across the north-central plains of the continent (U.S. Government Accountability Office, 2007). Across this region, wetland density can exceed 83 wetlands per mile, with a few areas in Montana exceeding 100 per mile (U.S. Government Accountability Office, 2007). Over 300 bird species rely on these waters (Dahl, 2014). The hydrologic nature of these disconnected prairie wetlands makes them unlikely to receive protection under the post-Sackett CWA (Gold, 2024).

Montana’s water resources are critical to state and local economies. Overall, outdoor recreation accounts for 4.6% of state GDP and provides nearly 40,000 jobs (Lawson, 2024). Wetlands and rivers are critical to the outdoor industry. Anglers alone are estimated to spend \$919.3 million annually in the state, and hunters contribute another \$389.2 million (Headwater Economics, 2019). Wetlands directly support industry through habitat for game birds and fish, and indirectly through ecosystem services like water quality control and landscape function (Cohen et al., 2016). Further, the quality of Montana’s ecosystems and outdoor recreation is

central to the state's identity and economic success, with 96% of survey respondents stating that outdoor recreation is important to the state's economic future (Headwaters Economic, 2019).

Montana's state legislation regarding water quality is designed to integrate with the CWA. The EPA delegated to the Montana Department of Environmental Quality (MDEQ) the authority to administer CWA regulations within the state through its own Montana Pollutant Discharge Elimination System (MNDPES) for regulating pollutant discharge pursuant to CWA section 402 (Montana Department of Water Quality, 2015). The Montana Water Quality Act is the primary state legislation regarding CWA compliance and defines state surface waters as "water above the land surface," explicitly including wetlands (Montana Legislature, n.d.). While discharge pollution into wetlands is codified and regulated at a state level, the only legal protection for backfilling and dredging of wetlands and ephemeral streams was through the CWA section 404 (Kihlslinger et al., 2023). The reduction of the CWA scope means that there is no longer a regulation regarding backfilling or dredging of ephemeral streams or wetlands without a continuous surface connection in Montana.

Montana codified protection of perennial streams through the Natural Streambed and Land Preservation Act of 1975 (Montana Department of Water Quality, 2015), commonly known as the 301 Law, which limits alterations to streambeds and banks. Still, this legislation left non-perennial streams under federal CWA jurisdiction. The post-Sackett CWA, in combination with existing state frameworks, has the following critical regulatory gaps in Montana: 1) No regulation for the filling, dredging, or draining of isolated wetlands; 2) No regulation of the filling or alteration of ephemeral streams (non-301 Law streams).

III. Policy Alternatives

Two Rocky Mountain states have passed legislation in response to the Sackett v. EPA decision. Due to similar hydrological and political landscapes, legislation from both Colorado and New Mexico is highly relevant to Montana. Colorado responded by passing Colorado House Bill 24-1379 (2024), which establishes state regulation for backfilling and discharges into isolated wetlands, ponds, and ephemeral streams not covered by the CWA section 404. HB 24-1397 requires the Colorado Department of Public Health and Environment and the Water Quality Control Commission to develop rules governing permitting, restoration, and compensatory mitigation for waters outside the scope of the CWA. Under the new law, the state will issue permits for backfilling or dredging of ephemeral streams and has generalized permits for discharge into isolated wetlands more than 1500 feet from rivers (Colorado General Assembly, 2024).

New Mexico was the only Western state without a state-run NPDES permitting authority and relied entirely on the EPA for regulation. In response to the Sackett decision, New Mexico passed Senate Bill 21 (2025), which, once approved by the EPA, will allow the state to exercise authority over CWA 402 permitting. Critically, this bill establishes state authority over dredge and fill operations outside of CWA 404, meaning the state does not assume section 404 authority but instead allows regulation through the New Mexico Water Quality Act (Senate Bill 21, 2025). SB 21 provides a broader definition of surface water, explicitly including wetlands and seasonal water bodies. By avoiding section 404 authority, SB 21 allows the bill to introduce its own definition of regulated waters and avoids the reduced regulatory scope under the Sackett v. EPA WOTUS definition (SB 21, Section II, Subsection R (2), 2025). Other notable elements include dredge/fill exemptions for agricultural use, and for practitioners already operating with a federal

404 permit (SB 21, Section 3, Subsection V, 2025). This section represents a political compromise to address agricultural opposition to expanding state authority and ease the regulatory transition for individuals already familiar with federal 404 permitting.

Compared to Colorado HB 24-1397, New Mexico SB-21 is a highly detailed piece of legislation that relies more explicitly on bill provisions rather than the broad language and delegated rulemaking present in HB 24-1397. In part, this is due to SB 21 comprehensively assuming state CWA section 402 authority, including dredge/fill protection. However, SB 21 also provides explicit instructions for regulatory processes and appeals that are left to the discretion of the Colorado state agency in rulemaking.

Compared to Colorado and New Mexico, Montana's conservative state government and population pose a challenge to passing strong state regulations. The Montana agricultural community has largely responded positively to the Sackett decision, viewing it as a crucial win over federal overreach (Eggert, 2023). Nevertheless, without action, Sackett's environmental impacts could result in severe degradation of Montana's ecological resources. To protect Montana's wetlands and seasonal streams, the state should consider the following two approaches:

Option 1: Montana Wetlands and Headwaters Protection Act (MWHPA)

Building on Colorado HB 34-1397 and New Mexico SB 21, the Montana legislature could introduce a new bill to address the regulatory gaps left by Sackett v. EPA. Like New Mexico, this bill would establish a parallel regulatory process for dredge/fill permitting without assuming federal section 404 authority. The bill would rely on the existing definition of state waters as any body of water, either surface or underground (Montana Legislature, n.d.). Permits would be authorized through the MDEQ, which already issues state NPDES permits. The

primary funding mechanism of this bill would be through permit fees, unlike the state-appropriated funds under HB 34-1379. A key provision of this bill would include a compensatory mitigation protocol for permitted, unavoidable degradation of wetland habitat, balancing economic development with environmental concerns. The bill's headwaters provisions aim to fill the gap between the Montana 301 Law protecting perennial streams and the post-Sackett lack of protection for ephemeral and intermittent streams by applying the existing 301 framework to non-permanent streams. Importantly, this option provides the strongest level of protection for wetlands. It integrates with existing legal frameworks and modifies well-established regulatory protocols and procedures. However, this is a comparatively expensive option that is likely to face scrutiny from constituents and conservative lawmakers.

Option 2: Decentralized local regulation and voluntary, incentive-based protection

Option 2 avoids difficulties presented by conservative resistance to regulatory legislation by creating voluntary programs and leaving regulation to municipal governments. By using existing federal programs like the USDA Agricultural Conservation Easement Program's (ACEP) Wetland Reserve Easement (WRE) and Wetland Reserve Enhancement Partnership (WREP), Montana can incentivize agricultural conservation. Further private-public partnerships, like those with Ducks Unlimited, and additional state funds to expand the voluntary restoration frameworks already in place, such as those under the Montana Wetland Council (MWC), can increase participation and adoption. This option places the burden of regulation on local government, which can enact protections through municipal zoning regulations or water supply plans (Kihlslinger et al., 2023). The state can choose to support and strengthen local efforts by expanding existing MWC education and support programs and by providing state grants to implement restoration and protection of municipal water resources. This option is politically

easier, as it requires no new state bill and does not infringe on individual rights due to its largely voluntary nature. However, with no legal power, there is no guarantee that option two will protect wetlands in a meaningful way. Further, by placing the regulatory burden on municipalities, liberal urban areas like Bozeman and Missoula will likely enact regulations absent in more conservative areas, thus creating a fragmented regulatory landscape that fails to conserve the state's water resources as a whole.

IV. Policy Recommendations

Considering the substantial ephemeral and intermittent streams and isolated wetlands in Montana and the lack of state protection to fill the post-Sackett vacuum, a regulatory approach is the only way to guarantee the state's natural resources. Option 1 represents a significant uphill battle in Montana's conservative political landscape. Still, with careful provisions, emphasis on economic development, and compromise to the agricultural sector, the Montana Wetlands and Headwaters Protection Act can balance political feasibility with environmental protection.

The MWHPA is designed to serve as a parallel legislative measure that uses the existing state waters definition, adapts the 301 Law to cover seasonal streams, and establishes a permitting and compensatory mitigation protocol for wetlands outside the scope of 404 permitting. While the state waters definition is acceptable to cover the relevant water bodies, the MWHPA should include a section that explicitly acknowledges the current scientific understanding that isolated wetlands are critical to landscape function through their chemical and physical groundwater connection (Cohen et al., 2016; Vance, 2009), and provide crucial habitat to aquatic species (Dahl, 2014; U.S. Government Accountability Office, 2007). Further, this section should acknowledge the scientific understanding of ephemeral and intermittent streams as critical to the hydrology and ecology of headwaters and their importance to water resource development

(Boulton et al., 2017). This section of the bill clarifies the legislative intent for the regulation to follow and avoids Sackett-like interpretations that fail to acknowledge current scientific understanding.

The wetlands provision of the MWHPA will establish a rulemaking protocol prompting the MDEQ to develop a permitting process for the dredging, filling, and draining of wetlands under the current “state waters” definition, not covered under CWA section 404. Closely following the Colorado model, the MDEQ will formulate rules and procedures to issue a general authorization for unavoidable dredge and fill procedures that do not exceed impacts on 1/10th of an acre of isolated wetlands and 3/100th of an acre of ephemeral or intermittent streambed. Any activities beyond this general authorization will require approved compensatory mitigation procedures formulated by the MDEQ with support from the Montana Natural Heritage Program and the MWC. To address agricultural sector concerns, the MWHPA should include permit exemptions similar to SB 21, Section 3, Subsection V, which primarily waive regulations for existing plowing and cultivating, harvesting food and fiber, agricultural water infrastructure, emergency activities, and farming and mining roads. These exemptions should comply with the existing CWA section 404(f) exemptions.

The MWHPA should be similar in many ways to Colorado HB 34-1379 because an extensive bill like SB 21 is likely to meet conservative resistance. However, MWHPA will provide more explicit instructions around administrative rulemaking to alleviate likely constituent concerns regarding ambiguity. Specifically, MWHPA should establish clear civil and criminal penalties for non-compliance. Further, MWHPA should establish a regulatory committee outside the MDEQ to be appointed by the sitting governor. This committee, like New Mexico’s, would be a quasi-judicial body designed to address grievances related to MDEQ regulations and hear

appeals for enforcement actions, thus providing an essential administrative check on expanding state power.

To be palatable to state legislators and their constituents, the MWHPA will be funded primarily through permit application fees, and existing DEQ regulatory programs will be used where possible. HB 34-1379 projects the implementation cost for the first year at \$748,000, with an ongoing annual fee of \$248,304, and 5-7 new positions (Colorado General Assembly, 2024). Given Montana's substantially smaller population, the cost of implementing a similar program in Montana should be comparable to or lower than Colorado's. The state will fund the initial startup cost from state general funds, and permit fees will cover the ongoing operational costs.

As previously mentioned, the biggest challenge facing a legislative approach is the feasibility of passing a bill through the state government due to Montana's politically conservative landscape. Powerful groups like the Montana Stock Owners' Association have explicitly praised the Sackett decision, citing a reduction of federal authority as a key win for states' rights (Eggert, 2023). Further, a legislative approach faces a slow timeline for passing new laws, formulating administrative rules, and implementing them. Any bills introduced to expand regulation should expect resistance from constituents who believe they will infringe on personal property rights. That said, the high proportion of Montana waters that have lost previously protected status (Vance, 2009; Gold, 2024) and the critical economic importance of these resources (Headwater Economics, 2025) make comprehensive legislation the best option to ensure the state's overall economic and environmental goals.

There is a clear scientific consensus on the importance of isolated wetlands and seasonal streams for ecosystem and landscape function and water supply (Cohen et al., 2016; Vance, 2009). The Sackett v. EPA decision ignores the current scientific understanding and significantly

reduces federal oversight. For Montana, this regulatory vacuum presents a unique opportunity to implement state-level protections that reflect the state's values, not those of the federal government. The vast majority of Montanans believe in the value of their natural resources (Headwater Economics, 2019). The MWHPA provides the state with the opportunity to align its values with its constituents and to ensure the economic vitality and quality of its natural resources.

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